

Alpha Financial Markets Consulting UK Limited

Annual report and financial statements

Registered number 04710715

31 March 2018



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Company Information

Directors

ENB Fraser
S McNulty
NB Baker
MN Ala-Ilomaki
JP Benson
NS Curham
J Docker
G Faragher-Thomas
N Fienberg
B Lantorp
J Reed
MD Smith
D Spencer
N Spencer
AJ Glessing
KR Taylor
GD Glass
B West

Company number

04710715

Registered office

60 Gresham Street
London
EC2V 7BB

Auditor

KPMG LLP
St Nicholas House
Park Row
Nottingham
NG1 6FQ

Bankers

Lloyds Bank Plc
10 Gresham Street
London
EC2V 7AE

HSBC Bank UK
71 Queen Victoria Street
London
EC4V 4AY

Strategic report

Business review

The Company continued to perform well during the year, achieving an increase in turnover of 46.3% from £29,577,000 to £43,270,000. As a result, continued investment was made in the UK team, ending at 117 employed consultants at 31 March 2018. Profit after tax increased 51.8% to £8,361,000. Trade receivables increased to £12,895,000 from £5,340,000, an increase of 141.5%, due in part to the increase in revenue and in majority to an increase in average invoice value as a result of larger project sizes. There are no concerns about the recoverability of the main unprovided debtors.

Future developments

The business plan developed by the Directors show growth is expected to continue in the forthcoming year the Directors are confident of achieving their plan, based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the robust pipeline of future opportunities.

Key performance indicators

The Directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial metrics. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each Group undertaking and compare actual performance against budget. Costs and utilisation are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company is subject to only limited risk in the short and medium term as the future pipeline of work is good. The Company continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management continue to operate conservative cash management policies. The Directors are satisfied with performance for the year.

By order of the Board.



Euan NB Fraser
Director

13 December 2018

Directors' report

The Directors present their report and the audited financial statements for the period ended 31 March 2018.

Principal activities

The principal activity of the Company continued to be the provision of consulting and related services to clients in the asset and wealth management industries.

Results and dividend

The results for the year are set out in the attached profit and loss account.

No interim ordinary dividend was paid (2017: *£nil*). The Directors have recommended the payment of a final dividend of £10,000,000 to its sole shareholder Alpha Financial Markets Consulting Group Limited (2017: *£nil*), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders.

After deducting taxation and dividends, £8,361,000 was transferred to reserves (2017: *£5,509,000*).

Directors

The Directors who held office during the year were as follows:

ENB Fraser
S McNulty
NB Baker
MN Ala-Ilomaki
JP Benson
NS Curham
J Docker
G Faragher-Thomas
N Fienberg
B Lantorp
J Reed
MD Smith
D Spencer
N Spencer
AJ Glessing
KR Taylor
GD Glass (appointed 1 April 2017)
B West (appointed 1 April 2017)

Political contributions

The Company made no political donations or incurred any political expenditure during the year.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Directors' report (*continued*)

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



ENB Fraser
Director

60 Gresham Street
London EC2V 7BB

13 December 2018

Statement of Directors' responsibilities in respect of the Strategic report and the Directors' report and the financial statements

The Directors are responsible for preparing the Strategic Report and the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under Company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent Auditor's Report to the Members of Alpha Financial Markets Consulting UK Limited

Opinion

We have audited the financial statements of Alpha Financial Markets Consulting UK Limited ("the Company") for the year ended 31 March 2018 which comprise the *Profit and Loss Account, Balance Sheet and Statement of Changes in Equity* and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2018 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

We are required to report to you if we have concluded that the use of the going concern basis of accounting is inappropriate or there is an undisclosed material uncertainty that may cast significant doubt over the use of that basis for a period of at least twelve months from the date of approval of the financial statements. We have nothing to report in these respects.

Strategic report and Directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Independent Auditor's Report to the Members of Alpha Financial Markets Consulting UK Limited (*continued*)

Directors' responsibilities

As explained more fully in their statement set out on page 5, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

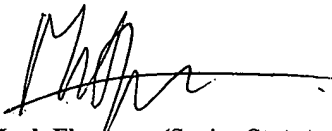
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Mark Flanagan (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

20th December 2018

Profit and Loss Account
for the year ended 31 March 2018

	Note	2018 £000	2017 £000
Turnover	2	43,270	29,577
Cost of sales		(26,110)	(18,531)
Gross profit		17,160	11,046
Administrative expenses	3	(7,445)	(5,397)
Operating profit		9,715	5,649
Other interest receivable and similar income	6	-	97
Profit before taxation		9,715	5,746
Taxation	7	(1,354)	(237)
Profit for the financial year		8,361	5,509

In both the current and preceding year, the Company made no material acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The notes on pages 11-22 form part of these financial statements.

Balance Sheet
at 31 March 2018

	Note	2018 £000	2017 £000
Non-current assets			
Tangible fixed assets	8	235	258
		<u>235</u>	<u>258</u>
Current assets			
Debtors	9	32,882	16,637
Cash at bank and in hand		5,664	5,426
		<u>38,546</u>	<u>22,063</u>
Current liabilities			
Creditors: amounts falling due within one year	10	(14,311)	(6,194)
		<u></u>	<u></u>
Net current assets		<u>24,235</u>	<u>15,869</u>
Total assets less current liabilities		<u>24,470</u>	<u>16,127</u>
Non-current liabilities			
Deferred tax liability	11	(3)	(21)
		<u></u>	<u></u>
Net assets		<u>24,467</u>	<u>16,106</u>
Capital and reserves			
Called up share capital	12	275	275
Profit and loss account		24,192	15,831
		<u></u>	<u></u>
Shareholders' funds		<u>24,467</u>	<u>16,106</u>

The notes on pages 11-22 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 13 December 2018. They were signed on its behalf by:



Euan NB Fraser
Director

Company registered number: 04710715.

Statement of Changes in Equity

	Called up share capital £000	Profit and loss account £000	Total equity £000
Balance at 1 April 2017	275	15,831	16,106
Total comprehensive income for the period			
Profit	-	8,361	8,361
Total comprehensive income for the period	-	8,361	8,361
Balance at 31 March 2018	275	24,192	24,467

The notes on pages 11-22 form part of these financial statements.

Notes

(forming part of the financial statements)

1 Accounting policies

Alpha Financial Markets Consulting Limited (the “Company”) is a Company limited by shares, domiciled and registered in the UK. The registered number is 04710715 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 *Reduced Disclosure Framework* (“FRS 101”).

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards as adopted by the EU (“Adopted IFRSs”), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

In the transition to FRS 101, the Company has applied IFRS 1, whilst ensuring that its assets and liabilities are measured in compliance with FRS 101. An explanation of how the transition to FRS 101 has affected the reported financial position, financial performance and cash flows of the Company is provided in note 18.

The Company’s parent undertaking, Alpha Financial Markets Consulting plc (formerly Alpha FMC Topco Limited), includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a Cash Flow Statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRSs;
- An additional balance sheet for the beginning of the earliest comparative period following the retrospective change in accounting policy (see note 18);
- Disclosures in respect of the compensation of Key Management Personnel; and
- Disclosures of transactions with a management entity that provides key management personnel services to the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

Judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year are discussed in note 17.

Notes (continued)

1 Accounting policies (continued)

1.1 Measurement convention

The financial statements are prepared on the historical cost basis.

1.2 Going concern

The financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons:

- (a) The Directors have prepared cash flow forecasts for a period of 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides, the Company will have sufficient funds to meet its liabilities as they fall due for that period.
- (b) The Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements.

1.3 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.4 Classification of financial instruments issued by the Company

Following the adoption of IAS 32, financial instruments issued by the Company are treated as equity only to the extent that they meet the following two conditions:

- (a) they include no contractual obligations upon the Company to deliver cash or other financial assets or to exchange financial assets or financial liabilities with another party under conditions that are potentially unfavourable to the Company; and
- (b) where the instrument will or may be settled in the Company's own equity instruments, it is either a non-derivative that includes no obligation to deliver a variable number of the Company's own equity instruments or is a derivative that will be settled by the Company's exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

To the extent that this definition is not met, the proceeds of issue are classified as a financial liability. Where the instrument so classified takes the legal form of the Company's own shares, the amounts presented in these financial statements for called up share capital and share premium account exclude amounts in relation to those shares.

1.5 Non-derivative financial instruments

Non-derivative financial instruments relevant to the Company comprise of investments in subsidiaries, trade and other debtors, loans and borrowings, and trade and other creditors.

Trade and other debtors

Trade and other debtors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method, less any impairment losses.

Trade and other creditors

Trade and other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Investments in subsidiaries

Investments in subsidiaries are carried at cost less impairment.

Notes (continued)

1 Accounting policies (continued)

1.5 Non-derivative financial instruments (continued)

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.6 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation and accumulated impairment losses.

Leases in which the Company assumes substantially all the risks and rewards of ownership of the leased asset are classified as finance leases. Where land and buildings are held under leases the accounting treatment of the land is considered separately from that of the buildings. Leased assets acquired by way of finance lease are stated at an amount equal to the lower of their fair value and the present value of the minimum lease payments at inception of the lease, less accumulated depreciation and less accumulated impairment losses. Lease payments are accounted for as described below.

Depreciation is charged to the profit and loss account on a straight-line basis over the estimated useful lives of each part of an item of tangible fixed assets. Land is not depreciated. The estimated useful lives are as follows:

Computer equipment	3 years straight line
Fixtures, fittings and equipment	4 years straight line
Leasehold improvements	5 years straight line

Depreciation methods, useful lives and residual values are reviewed at each balance sheet date.

1.7 Impairment

Financial assets (including trade and other debtors)

A financial asset not carried at fair value through profit or loss is assessed at each reporting date to determine whether there is objective evidence that it is impaired. A financial asset is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset, and that the loss event had a negative effect on the estimated future cash flows of that asset that can be estimated reliably.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment an impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impaired asset continues to be recognised through the unwinding of the discount. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through profit or loss.

Non-financial assets

The carrying amounts of the Company's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For goodwill, and intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are Grouped together into the smallest Group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or Groups of assets (the "cash-generating unit").

Notes (continued)

1 Accounting policies (continued)

1.7 Impairment (continued)

The goodwill acquired in a business combination, for the purpose of impairment testing, is allocated to cash-generating units, or ("CGU"). Subject to an operating segment ceiling test, for the purposes of goodwill impairment testing, CGUs to which goodwill has been allocated are aggregated so that the level at which impairment is tested reflects the lowest level at which goodwill is monitored for internal reporting purposes. Goodwill acquired in a business combination is allocated to Groups of CGUs that are expected to benefit from the synergies of the combination.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit (Group of units) on a pro rata basis.

An impairment loss in respect of goodwill is not reversed.

In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.8 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

1.9 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

1.10 Turnover

Turnover consists of the value of work executed for clients during the year, exclusive of VAT and rechargeable expenses. Turnover is recognised as services are performed in accordance with the terms of the contract which are primarily on a time and materials basis, although a small proportion of contracts are invoiced against agreed milestones. Turnover is wholly attributable to the principal activities of the Group. Activity performance in excess of invoices raised is included within accrued income. Where amounts have been invoiced in excess of work performed, the excess is included within deferred income.

1.11 Expenses

Operating lease payments

Payments (excluding costs for services and insurance) made under operating leases are recognised in the profit and loss account on a straight-line basis over the term of the lease. Lease incentives received are recognised in the profit and loss account as an integral part of the total lease expense.

Interest receivable and Interest payable

Interest payable and similar expenses include interest payable, finance expense on shares classified as liabilities and finance leases recognised in profit or loss using the effective interest method, unwinding of the discount on provisions, and net foreign exchange losses that are recognised in the profit and loss account (see foreign currency accounting policy). Borrowing costs that are directly attributable to the acquisition, construction or production of an asset that takes a substantial time to be prepared for use, are capitalised as part of the cost of that asset. Other interest receivable and similar income include interest receivable on funds invested and net foreign exchange gains.

Notes (continued)

1 Accounting policies (continued)

1.11 Expenses (continued)

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method. Dividend income is recognised in the profit and loss account on the date the entity's right to receive payments is established. Foreign currency gains and losses are reported on a net basis.

1.12 Taxation

Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The following temporary differences are not provided for: the initial recognition of goodwill; the initial recognition of assets or liabilities that affect neither accounting nor taxable profit other than in a business combination, and differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available.

1.13 Adopted IFRS not yet applied

The following Adopted IFRSs have been issued but have not been applied in these financial statements. Their adoption is not expected to have a material effect on the financial statements unless otherwise indicated:

- IFRS 9 Financial Instruments (effective for periods commencing on or after 1 January 2018).
- IFRS 15 Revenue from Contract with Customers (effective for periods commencing on or after 1 January 2018).
- IFRS 16 Leases (effective for periods commencing on or after 1 January 2019).

The Directors reviewed the impact that these new standards will have on the Company and do not believe that the impact will be material. The Company intends to adopt the standards in the reporting period when they become effective. The following standards are relevant to the Company but were not yet effective. These standards have not been early adopted by the Company:

IFRS 9 Financial Instruments (effective for periods beginning on or after 1 January 2018)

IFRS 9 changes the classification and measurement of financial assets and the timing and extent of credit provisioning. The Company has not adopted the standard early. The new categories per IFRS 9 are not expected to have a material impact on the financial assets as trade receivables will continue to be carried at amortised cost. An expected credit loss model replaces the incurred loss model. This requires an assessment of the likelihood of default and any potential loss that may arise in the event of default. The Company does not believe that the new standard would cause a material change in the provision for bad debts on trade receivables or any other financial assets because of the short-term nature of the trade receivables and the specific provisions currently being raised for them.

IFRS 15 Revenue from contracts with customers (effective for periods beginning on or after 1 January 2018)

This standard establishes principles for reporting information about the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contracts with customers. Revenue would be recognised when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefits from the good or service. The Company performed an analysis of the new five-step approach to recognise revenue and the impact on the reporting of revenue for the Company. Based on the analysis performed, the Company found that IFRS 15 will have no significant impact on the recognition and reporting of revenue.

Notes (continued)

2 Turnover

	2018 £000	2017 £000
Rendering of services	43,270	29,577
	<u>2018</u> <u>£000</u>	<u>2017</u> <u>£000</u>
<i>By activity</i>		
Management consulting	43,270	29,577

3 Auditor's remuneration

Auditor's remuneration:

	2018 £000	2017 £000
Audit of these financial statements	40	25

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha Financial Markets Consulting plc.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Number of employees	
	2018	2017
Administrative	6	8
Sales	117	99
	<u>123</u>	<u>107</u>

Notes (continued)

4 Staff numbers and costs (continued)

The aggregate payroll costs of these persons were as follows:

	2018 £000	2017 £000
Wages and salaries	15,100	11,568
Social security costs	1,359	970
Contributions to defined contribution plans	160	147
	<u>16,619</u>	<u>12,685</u>

5 Directors' remuneration

	2018 £000	2017 £000
Directors' remuneration	2,880	3,199
Company contributions to money purchase pension plans	31	41
	<u>2,911</u>	<u>3,240</u>

Number of Directors

2018	2017
------	------

Retirement benefits are accruing to the following number of Directors under:

Money purchase schemes	-	-
	<u>-</u>	<u>-</u>

The aggregate of remuneration and amounts receivable under long term incentive schemes of the highest paid director was £300,000 (2017: £274,000)

6 Other interest receivable and similar income

	2018 £000	2017 £000
Interest receivable on unimpaired financial assets	-	5
Net foreign exchange gain	-	92
	<u>-</u>	<u>97</u>
Total interest receivable and similar income	-	97

Notes (continued)

7 Taxation

Recognised in the profit and loss account

	2018	2017
	£000	£000
<i>Current tax</i>		
Current tax on income for the period	1,400	457
Adjustments in respect of prior periods	(28)	(228)
Total current tax	1,372	229
<i>Deferred tax (see note 11)</i>		
Adjustments in respect of prior periods	(21) 3	8 -
Total deferred tax	(18)	8
Tax on profit	1,354	237

Reconciliation of effective tax rate

	2018	2017
	£000	£000
Profit for the year	8,361	5,509
Total tax expense (including tax on discontinued operations)	1,354	237
Profit excluding taxation	9,715	5,746
Tax using the UK corporation tax rate of 19% (2017: 20%)	1,845	1,149
Reduction in tax rate on deferred tax balances	3	(1)
Non-deductible expenses	37	23
Tax exempt revenues	-	-
Fixed asset differences	4	-
Group relief claimed	(510)	(706)
Under / (over) provided in prior years	(25)	(228)
Total tax expense	1,354	237

Reductions in the UK corporation tax rate to 18% (effective 1 April 2020) were substantively enacted on 26 October 2015, and an additional reduction to 17% (effective from 1 April 2020) was substantively enacted on 6 September 2016. This will reduce the Company's future tax charge accordingly. The deferred tax assets and liabilities at 31 March 2018 have been calculated based on the rates substantively enacted at the balance sheet date.

Notes (continued)

8 Tangible fixed assets

	Leasehold improvements £000	Computer equipment £000	Fixtures, fittings and equipment £000	Total £000
Cost				
Balance at 1 April 2017	202	407	101	710
Acquisitions	-	119	8	127
Disposals	-	(2)	-	(2)
Balance at 31 March 2018	202	524	109	835
Depreciation and impairment				
Balance at 1 April 2017	(114)	(273)	(65)	(452)
Depreciation charge for the year	(34)	(96)	(19)	(149)
Disposals	-	1	-	1
Balance at 31 March 2018	(148)	(368)	(84)	(600)
Net book value				
At 31 March 2018	54	156	25	235
At 1 April 2017	88	134	36	258

9 Debtors

	2018 £000	2017 £000
Trade debtors	12,895	5,340
Amounts owed by Group undertakings	17,602	9,834
Corporation tax receivable	-	102
Other debtors	334	-
Prepayments and accrued income	2,051	1,361
	32,882	16,637

Amounts owed by Group undertakings are interest free and are repayable on demand.

Notes (continued)

10 Creditors: amounts falling due within one year

	2018 £000	2017 £000
Trade creditors	1,248	731
Amounts owed to Group undertakings	3,329	948
Taxation and social security	2,493	1,102
Accruals and deferred income	7,241	3,413
	<u>14,311</u>	<u>6,194</u>

Amounts owed to Group undertakings are interest free and are repayable on demand.

11 Deferred tax assets and liabilities

Recognised deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

	Assets		Liabilities		Net	
	2018 £000	2017 £000	2018 £000	2017 £000	2018 £000	2017 £000
Tangible fixed assets	-	-	24	27	24	27
Other	(21)	(6)	-	-	(21)	(6)
	<u>(21)</u>	<u>(6)</u>	<u>24</u>	<u>27</u>	<u>3</u>	<u>21</u>
Net tax (assets) / liabilities	(21)	(6)	24	27	3	21

In addition to the deferred tax asset above, the Company has no unrecognised gross tax losses (2017: £nil). Deferred tax has been calculated at a rate of 19% which is the rate at which it is expected to unwind in future.

Notes (continued)

12 Capital and reserves

Share capital

	2018 £000	2017 £000
<i>Allotted, called up and fully paid</i>		
275,000 ordinary shares of £1 each	275	275
	275	275
Shares classified as liabilities	-	-
Shares classified in shareholders' funds	275	275
	275	275

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

Dividends

The Directors have recommended the payment of a final dividend of £10,000,000 to its sole shareholder Alpha Financial Markets Consulting Group Limited (2017: £nil), to facilitate the payment of the Group dividend made by the Company's ultimate parent, Alpha Financial Markets Consulting plc, to its shareholders.

13 Operating leases

Non-cancellable operating lease rentals are payable as follows:

	2018 £000	2017 £000
Less than one year	261	261
Between one and five years	1,043	1,043
More than five years	319	579
	1,623	1,883

The lease arrangement held is in relation to the rent due on the London offices at 60 Gresham Street, London, EC2V 7BB.

During the year, £276,000 was recognised as an expense in the profit and loss account in respect of operating leases (2017: £300,000).

Notes (continued)

14 Contingencies

In the year, the Company was a cross-guarantor for the Beechbrook and Lloyds loans held by Alpha FMC Bidco Ltd. These loans were fully paid during the year. The Company does not owe any monies in respect of these loans as at 31 March 2018.

15 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS101.

16 Ultimate parent Company and parent Company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website www.alphafmc.com.

17 Accounting estimates and judgements

There are no significant sources of estimated uncertainty to disclose.

18 Explanation of transition to FRS 101 from FRS 102

As stated in note 1, these are the Company's first financial statements prepared in accordance with FRS 101.

The accounting policies set out in note 1 have been applied in preparing the financial statements for the year ended 31 March 2018 and the comparative information presented in these financial statements for the year ended 31 March 2017.

In preparing its FRS 101 balance sheet, the Company has adjusted amounts reported previously in financial statements prepared in accordance with its old basis of accounting (FRS 102). There has been no material impact from the transition from FRS 102 to FRS 101 to the Company's financial position, financial performance and cash flows.